

KENYA AIRWAYS PLC
SUMMARY AUDITED GROUP RESULTS
FOR THE YEAR ENDED 31 DECEMBER 2025

**SUMMARY CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME**

	31 December 2025	31 December 2024
	KShs M	KShs M
Total income	161,473	188,495
Total operating costs	(167,080)	(171,874)
Operating (loss)/profit	(5,607)	16,621
Finance costs	(12,399)	(11,163)
Interest income	79	69
(Loss)/profit before income tax	(17,927)	5,527
Income tax credit /(expense)	764	(95)
(Loss)/profit for the year	(17,163)	5,432
Other comprehensive income		
<i>Items that may be reclassified subsequently to profit or loss</i>		
Foreign currency exchange gains on cashflow hedges	-	10,554
Reclassification of foreign currency exchange gains to profit or loss	1,421	3,826
<i>Items that will not be reclassified to profit or loss</i>		
Revaluation on land and building	1,928	-
Other comprehensive income for the year net of tax	3,349	14,380
Total comprehensive (loss)/income for the year	(13,814)	19,812
(Loss)/profit for the year is attributable to:		
Owners of the company	(17,134)	5,511
Non-controlling interest	(29)	(79)
	(17,163)	5,432
Total comprehensive (loss)/income is attributable to:		
Owners of the company	(13,785)	19,891
Non-controlling interest	(29)	(79)
Total comprehensive (loss)/profit for the year	(13,814)	19,812
Basic (loss)/profit per share(KShs)	(2.94)	0.95
Diluted (loss)/profit per share(KShs)	(2.29)	0.74

SUMMARY CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	31 December 2025 KShs M	31 December 2024 KShs M
Assets		
Non-current assets	141,803	137,497
Current assets	41,425	41,607
TOTAL ASSETS	183,228	179,104
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	5,824	5,824
Share premium	49,223	49,223
Convertible loan notes	9,630	9,630
Treasury shares	(142)	(142)
Reserves	(196,562)	(182,777)
Equity attributable to owners	(132,027)	(118,242)
Non-controlling interest	(38)	(9)
TOTAL EQUITY	(132,065)	(118,251)
Liabilities		
Non - current liabilities	182,372	177,914
Current liabilities	132,921	119,441
TOTAL LIABILITIES	315,293	297,355
TOTAL EQUITY AND LIABILITIES	183,228	179,104

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital KShs M	Share premium KShs M	Convertible loan notes KShs M	Treasury shares KShs M	Other reserves KShs M	Accumulated losses KShs M	Total KShs M	Non controlling interest KShs M	Total equity KShs M
Year ended 31 December 2024									
At 1 January 2024	5,824	49,223	9,630	(142)	(7,410)	(195,258)	(138,133)	70	(138,063)
Profit for the year	-	-	-	-	-	5,511	5,511	(79)	5,432
Other comprehensive income for the year	-	-	-	-	10,554	-	10,554	-	10,554
Reclassified to profit or loss	-	-	-	-	3,826	-	3,826	-	3,826
At 31 December 2024	5,824	49,223	9,630	(142)	6,970	(189,747)	(118,242)	(9)	(118,251)
Year ended 31 December 2025									
At 1 January 2025	5,824	49,223	9,630	(142)	6,970	(189,747)	(118,242)	(9)	(118,251)
Loss for the year	-	-	-	-	-	(17,134)	(17,134)	(29)	(17,163)
Other comprehensive income for the year	-	-	-	-	1,421	-	1,421	-	1,421
Revaluation on land and building	-	-	-	-	1,928	-	1,928	-	1,928
At 31 December 2025	5,824	49,223	9,630	(142)	10,319	(206,881)	(132,027)	(38)	(132,065)

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	31 December 2025	31 December 2024
	KShs M	KShs M
Cashflows from operating activities		
Cash generated from operations	19,703	20,853
Interest received	79	69
Interest paid on borrowings	(1,641)	(3,106)
Income tax paid	(49)	(76)
Net cash generated from operating activities	18,092	17,740
Cash flows from investing activities		
Purchase of property and equipment and intangible assets	(5,295)	(7,147)
Proceeds from disposal of property and equipment	1,053	9
Payment of deposits for aircraft leases	(801)	(663)
Proceeds from refunds of aircraft deposits	484	333
Net cash used in investing activities	(4,559)	(7,468)
Cash flows from financing activities		
Proceeds from borrowings	219	7,504
Repayments of borrowings	(1,295)	(5,017)
Repayment of lease liabilities	(12,466)	(14,517)
Payment of deferred borrowing costs	(77)	(7)
Restricted cash and bank balances	(417)	-
Net cash used in financing activities	(14,036)	(12,037)
Decrease in cash and cash equivalents	(503)	(1,765)
Effects of exchange rate changes on cash and cash equivalents	55	(219)
Cash and cash equivalents at beginning of year	5,781	7,765
Cash and cash equivalents at end of year	5,333	5,781

The summarized consolidated financial statements of Kenya Airways Plc have been prepared as per the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 ('the Regulations') as applicable to summary financial statements.

The summarized financial statements are not a substitute to reading the full set of financials statement available on company website.

COMMENTARY

Overall performance and operations in the year 2025 were severely impacted primarily by the temporary grounding of three of the wide body fleet, Boeing 787-8 Dreamliner aircraft. This was driven by the global supply chain constraints and limited engine availability.

Despite the significant capacity constraints, the airline launched one new intercontinental flight strengthening its presence in London with three weekly frequencies to Gatwick (LGW).

Key performance highlights:

- Revenue declined by 14% (KShs 27 billion) mainly driven by 13% decline in passenger numbers despite a 18% reduction in capacity.
- Operating costs decreased by 3%, driven by reduced operations.

This resulted in an operating loss of KShs 5.6 billion compared to the operating profit of KShs 16.6 billion reported in the previous year, and loss after tax of KShs 17.2 billion compared to a profit of KShs 5.4 billion reported in the prior year.

Industry overview

The aviation industry continued its steady recovery, supported by strong passenger demand, particularly on inter-continental routes. However, the sector faced notable headwinds, including delays in aircraft deliveries, engine availability challenges, and persistent global supply chain constraints. Cargo performance softened amid a slowdown in global trade and evolving tariff regimes.

Africa continues to present a complex operating environment, shaped by economic pressures, infrastructure gaps, and connectivity challenges that impact industry performance. Nevertheless, sustained demand for air travel across the region offers encouraging signs and supports the industry's steady path toward long-term profitability.

Economy Impact

The aviation industry continues to navigate a range of macroeconomic challenges. Inflation has eased slightly but remains high, keeping input costs, especially fuel and labor, elevated. Geopolitical instability continues to impact fuel prices and global economic confidence. While demand for air travel is strong, global GDP growth has only modestly improved, limiting the pace of full industry recovery.

The ongoing geopolitical tension in the Middle East presents a potential risk to the aviation sector. This is through volatility in global jet fuel prices and airspace restrictions. For Kenya Airways, this development may lead to higher operating costs due to increased fuel prices and rerouting of flights to avoid affected airspace, resulting in longer flight times and higher fuel consumption as well as navigation costs.

Despite economic uncertainties, passengers' desire to travel remains undiminished.

Revenue and Capacity

Revenue declined by 14%, capacity down by 18%

Capacity deployed measured in Available Seat Kilometers (ASKs) reduced by 18% closing at 13,349 million compared to 16,227 million reported in 2024. Despite the 18% capacity reduction, passenger numbers declined by 13% resulting in 14% reduction in the Group's total revenue.

Costs

Total operating costs declined by 3% to close at Kshs 167 billion. This is mainly attributed to reduction in operations resulting from the grounding of three Dreamliner aircrafts due to industry supply chain constraints and engine availability. Fleet ownership costs went up by 33% due to remeasurement of leased assets in the previous year as well as additional fleet (B738).

Other operating costs increased by 59% mainly due to the stability of the Kenya shilling in the year compared to prior year where the Kenya Shilling substantially appreciated against the dollar and other global currencies giving rise to foreign exchange gains.

Outlook

According to IATA's December 2025 Sustainability and Economics report, global passenger traffic growth is expected to increase by a moderate 4.9% year-on-year, while air cargo growth is estimated at 3.1%. Notwithstanding the headwinds faced by the aviation sector, sustainability is likely to remain a central focus, as regulatory and societal pressures accelerate the adoption of Sustainable Aviation Fuel (SAF), emissions-reducing technologies and comprehensive ESG frameworks.

In the challenging operating environment, Kenya Airways will focus on bringing back the full complement of the aircraft as well as continue to focus on cost transformation and cash conservation. Along with this, in the near term, the focus is on completing the capital raising. The main objective of the capital raise is to grow the business by increasing its fleet size and diversification of the revenue streams. In addition, it will reduce the Group's financial leverage and increase liquidity. This will place Kenya Airways on a stronger footing and provide a stable base for long-term growth.

On behalf of the Board of Directors, I take this opportunity to express my sincere appreciation to our customers, the Government of Kenya, shareholders, financiers, lessors, the management, staff, suppliers, and other stakeholders for their continued support.



Kiprono Kittony, EBS
Chairman

24 March 2026